 Name _____

Crocs: Bad Debts in a Real Balance Sheet

Source: Crocs, Inc. Form 10-K, year ended December 31, 2024 (condensed; amounts in thousands) · sec.gov/Archives/edgar/data/1334036/000133403625000009/crox-20241231.htm

Crocs, Inc.
Consolidated Balance Sheet

	Dec 31, 2024
Cash and cash equivalents	$ 180,485
Accounts receivable (gross)	289,236
Less: Allowance for doubtful accounts (ADA)	(31,579)
Accounts receivable, net	257,657
Inventories	356,254
Other current assets	77,873
Total current assets	872,269
Property, goodwill, brands and other	3,939,884
Total assets	$ 4,812,153
Total current liabilities	$ 740,208
Long-term liabilities	2,236,213
Total liabilities	2,976,421
Total stockholders' equity	1,835,732
Total liabilities and equity	$ 4,812,153

Crocs, Inc.
Allowance for Doubtful Accounts (ADA)

	2024
Balance, Dec 31, 2023	$ 27,591
Add: Bad debt expense (new estimates)	?
Less: Accounts written off	?
Balance, Dec 31, 2024	$ 31,579

BACKGROUND
Crocs sells many of its shoes to retailers and distributors (shoe stores, department stores) on credit. They pay weeks later.

FIND IT IN THE STATEMENTS

Write the amount ($ thousands, or %).

1. In total, how much did customers owe Crocs at year-end? **289,236**
2. How much does Crocs estimate it will never collect? **31,579**
3. How much does Crocs actually expect to collect in cash? **257,657**
4. What percentage of what customers owe does Crocs expect never to collect? **10.9%**
5. Out of every $100 customers owe, about how much does Crocs expect to collect? **$89**
6. By how much did the allowance increase during 2024? **3,988**

HINTS

Gross and net A/R
Gross A/R: what customers owe for credit sales. Net A/R = Gross A/R − ADA, the amount expected to be collected.

Allowance for doubtful accounts (ADA)
The estimated amount of uncollectible A/R. A contra-asset (credit balance).

Allowance method (GAAP)
Estimate and record BDE at the end of each period, in the same period as the credit sales (matching principle).

Bad debt expense (BDE)
Adjusting entry: Dr BDE, Cr ADA. % of credit sales method: BDE = credit sales × historical % uncollectible.

Write-off
Dr ADA, Cr A/R. No expense; net A/R does not change.

ADA equation
Ending ADA = Beginning ADA + BDE − Write-offs.

PRACTICE

7 **Fill in the "?".** Suppose Crocs wrote off **6,000** of customer accounts during 2024. How much bad debt expense did it record?
9,988

27,591 + Expense − 6,000 = 31,579, so Expense = 9,988.

8 **Journal entries.** (a) Record the year-end bad debt estimate from Q7.

ACCOUNT	DEBIT	CREDIT
Bad debt expense	9,988	
Allowance for doubtful accounts		9,988

(b) A shoe store that owes Crocs **1,500** goes bankrupt. Write off its account.

ACCOUNT	DEBIT	CREDIT
Allowance for doubtful accounts	1,500	
Accounts receivable		1,500

Effect of entry (b): net income decreases / **no change**; accounts receivable, net decreases / **no change**

9 **% of credit sales method.** Shoe Wholesale Co. (a smaller, made-up company) made **$400,000** of credit sales in December. In the past, **2%** of credit sales have not been collected.

(a) Bad debt expense for December = **8,000**

(b) ADA was 3,000 on Dec 1, and 2,500 of accounts were written off during December. ADA on Dec 31 = **8,500**

(a) 400,000 × 2% = 8,000. (b) 3,000 + 8,000 − 2,500 = 8,500.

10 **Direct write-off method.** Under the direct write-off method, when would Crocs record the expense for the shoe store in Q8(b)?
when the sale is made / **when the account is written off**
Why is this method not allowed under GAAP?

The expense would be recorded in a later period than the sale, which violates the matching principle (it is used for tax purposes).

11 **Compare.** Costco says its allowance for receivables is *immaterial*. Why would Costco have almost no bad debts while Crocs does?

Costco's members pay at the register (cash, debit or credit card), so the card company, not Costco, bears the risk of non-payment. Crocs sells to other businesses on credit.

Crocs's reported "allowances" ($31,579) also include reserves for customer returns and discounts; this worksheet treats the total as the allowance for doubtful accounts. Accounts receivable (gross), other current assets, "property, goodwill, brands and other" and long-term liabilities are derived from reported totals. Q7 and Q9 use made-up numbers.